



# Z.AI (2513 HK)

## Hold: Lifting ARR; implications from Kimi K3

- ◆ Raise ARR assumptions; cut TP on lower margins in long term amid competition and higher share count
- ◆ Competition intensifies, but Z.ai can potentially catch up with higher parameter size models
- ◆ Maintain Hold, cut TP to HKD1,500 (from HKD1,900)

**Estimate, TP changes:** Z.ai (Zhipu) ARR reached USD1bn in July (per Bloomberg News on 17 July 2026), ahead of the guidance by December 2026. We raise ARR estimates to USD2bn (from USD1bn) in December 2026 and USD6.5bn (from USD2.4bn) in December 2027. Though the revenue mix shift to lower-margin API will dilute margins, we expect Z.ai to turn profitable in 2027 instead of 2028. However, we lower our TP to HKD1,500 (from HKD1,900), factoring in lower FCF assumptions to reflect more intense competition in pricing, higher share count after the HKD31bn H-share follow-on offerings in July 2026, and changes in exchange rate (USD-HKD). Our TP implies 14x P/ARR in December 2027 vs Anthropic's 8x (based on HSBC's global tech platforms team estimates on Anthropic's ARR and USD1.2trn valuation in secondary market transactions (Business Insider, 9 July 2026)). The premium is justified by faster ARR growth of 220% for Z.ai vs Anthropic (50%). Maintain Hold.

**Implications from the Kimi K3 launch: (1) Scaling law continues:** We think K3's intelligence leap is due to higher parameter size (rises from 1trn for K2.7 to 2.8trn). Z.ai could potentially catch up with the next model as GLM-5.2 only has 744bn parameters. **(2) Competition intensifies:** K3's launch suggests that Chinese open weight models could step up with 3trn parameter size models in 3Q26, including MiniMax and DeepSeek. We notice the iteration frequency from frontier labs has further accelerated in recent weeks, e.g., five leading US players (Anthropic, OpenAI, Google, SpaceXAI, Meta) all released model updates in July to date (exhibit 2). This shows that leadership in model capability has turned more temporary and frontier labs need to stay invested. **(3) Computing power matters for ARR:** K3 has much slower token throughput than peers and paused new to-C subscription two days after the launch. This suggests it lacks computing power. On the other hand, Z.ai has begun operating a 1GW data center (several clusters, each with over 10k domestic chips), with breakthrough in using domestic chips for inferencing (Bloomberg News, 21 July 2026) buffering compute power constraint. In addition, per Sina News on 21 July 2026, Z.ai acquired XCore Sigma (a heterogeneous AI compute software provider) to improve utilization of various types of chips. We believe these measures can support Z.ai to grow its ARR continuously amid robust user demand.

**Catalysts and risks:** (1) Launch of a new GLM in 3Q26 (+ve), (2) model iterations from competitors (-ve), (3) geopolitical risks related to potential ban of Chinese frontier models in the US market (-ve), (4) lock-up expiry (-ve): c38% of Z.ai's shares could be unlocked in early January 2027, and (5) fundraising/IPO of frontier labs could reduce the scarcity premium.

## Equities Internet Software & Services

China



MAINTAIN HOLD

TARGET PRICE (HKD)

**1,500.00**

PREVIOUS TARGET (HKD)

**1,900.00**

SHARE PRICE (HKD)

**1,281.00**

(as of 27 Jul 2026)

UPSIDE/DOWNSIDE

**+17.1%**

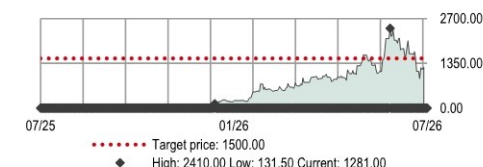
### MARKET DATA

|                   |         |            |         |
|-------------------|---------|------------|---------|
| Market cap (HKDm) | 586,584 | Free float | 10%     |
| Market cap (USDm) | 74,796  | BBG        | 2513 HK |
| 3m ADTV (USDm)    | 648     | RIC        | 2513.HK |

### FINANCIALS AND RATIOS (CNY)

| Year to            | 12/2025a | 12/2026e | 12/2027e | 12/2028e |
|--------------------|----------|----------|----------|----------|
| HSBC EPS           | -19.95   | -5.37    | 3.72     | 18.83    |
| HSBC EPS (prev)    | -19.95   | -7.08    | -4.46    | 0.99     |
| Change (%)         | 0.0      | 24.2     | nm       | 1,799.8  |
| Consensus EPS      | -10.80   | -9.70    | -8.81    | -3.04    |
| PE (x)             | nm       | nm       | 297.7    | 58.7     |
| Dividend yield (%) | 0.0      | 0.0      | 0.0      | 0.0      |
| EV/EBITDA (x)      | nm       | nm       | 198.6    | 34.6     |
| ROE (%)            | 52.8     | -19.2    | 5.5      | 25.8     |

### 52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

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## Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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## Financials & valuation: Z.AI

Hold

### Financial statements

| Year to                                 | 12/2025a | 12/2026e | 12/2027e | 12/2028e |
|-----------------------------------------|----------|----------|----------|----------|
| <b>Profit &amp; loss summary (CNYm)</b> |          |          |          |          |
| Revenue                                 | 724      | 7,206    | 29,176   | 66,237   |
| EBITDA                                  | -3,517   | -3,186   | 2,291    | 12,687   |
| Depreciation & amortisation             | -270     | -721     | -2,042   | -2,981   |
| Operating profit/EBIT                   | -3,787   | -3,906   | 249      | 9,706    |
| Net interest                            | -74      | -84      | -84      | -84      |
| PBT                                     | -4,718   | -3,930   | 229      | 9,690    |
| HSBC PBT                                | -4,718   | -3,930   | 229      | 9,690    |
| Taxation                                | 0        | 0        | 0        | -969     |
| Net profit                              | -1,918   | -3,910   | 249      | 8,741    |
| HSBC net profit                         | -3,182   | -2,628   | 2,001    | 11,154   |
| <b>Cash flow summary (CNYm)</b>         |          |          |          |          |
| Cash flow from operations               | -2,246   | -690     | 6,300    | 19,311   |
| Capex                                   | -23      | -735     | -2,013   | -3,113   |
| Cash flow from investment               | -376     | -735     | -2,013   | -3,113   |
| Dividends                               | 0        | 0        | 0        | 0        |
| Change in net debt                      | -98      | -44,694  | -4,281   | -16,192  |
| FCF equity                              | -2,269   | -1,425   | 4,287    | 16,198   |
| <b>Balance sheet summary (CNYm)</b>     |          |          |          |          |
| Intangible fixed assets                 | 90       | 90       | 90       | 90       |
| Tangible fixed assets                   | 854      | 868      | 839      | 972      |
| Current assets                          | 3,571    | 48,395   | 52,896   | 69,028   |
| Cash & others                           | 2,745    | 47,440   | 51,721   | 67,913   |
| Total assets                            | 4,854    | 49,753   | 54,288   | 70,621   |
| Operating liabilities                   | 12,275   | 13,598   | 16,054   | 21,154   |
| Gross debt                              | 605      | 605      | 605      | 605      |
| Net debt                                | -2,140   | -46,835  | -51,116  | -67,308  |
| Shareholders' funds                     | -8,093   | 35,508   | 37,608   | 48,861   |
| Invested capital                        | -10,505  | -11,683  | -13,950  | -18,977  |

### Ratio, growth and per share analysis

| Year to                     | 12/2025a | 12/2026e | 12/2027e | 12/2028e |
|-----------------------------|----------|----------|----------|----------|
| <b>Y-o-y % change</b>       |          |          |          |          |
| Revenue                     | 131.9    | 894.9    | 304.9    | 127.0    |
| EBITDA                      |          |          |          | 453.8    |
| Operating profit            |          |          |          | 3,804.0  |
| PBT                         |          |          |          | 4,131.7  |
| HSBC EPS                    |          |          |          | 406.8    |
| <b>Ratios (%)</b>           |          |          |          |          |
| Revenue/IC (x)              | -0.1     | -0.6     | -2.3     | -4.0     |
| ROIC                        | 45.1     | 35.2     | -1.9     | -53.1    |
| ROE                         | 52.8     | -19.2    | 5.5      | 25.8     |
| ROA                         | -102.2   | -14.4    | 0.4      | 14.0     |
| EBITDA margin               | -485.5   | -44.2    | 7.9      | 19.2     |
| Operating profit margin     | -522.8   | -54.2    | 0.9      | 14.7     |
| EBITDA/net interest (x)     |          |          | 27.2     | 150.4    |
| Net debt/equity             | 0.0      | -132.0   | -136.1   | -138.0   |
| Net debt/EBITDA (x)         | 0.6      | 14.7     | -22.3    | -5.3     |
| CF from operations/net debt |          |          |          |          |
| <b>Per share data (CNY)</b> |          |          |          |          |
| EPS Rep (diluted)           | -12.03   | -7.99    | 0.46     | 14.76    |
| HSBC EPS (diluted)          | -19.95   | -5.37    | 3.72     | 18.83    |
| DPS                         | 0.00     | 0.00     | 0.00     | 0.00     |
| Book value                  | -50.73   | 72.53    | 69.84    | 82.48    |

### Valuation data

| Year to            | 12/2025a | 12/2026e | 12/2027e | 12/2028e |
|--------------------|----------|----------|----------|----------|
| EV/sales           | 695.9    | 63.7     | 15.6     | 6.6      |
| EV/EBITDA          | nm       | nm       | 198.6    | 34.6     |
| EV/IC              |          |          |          |          |
| PE*                | nm       | nm       | 297.7    | 58.7     |
| PB                 |          | 15.3     | 15.8     | 13.4     |
| FCF yield (%)      | -0.4     | -0.3     | 0.8      | 3.2      |
| Dividend yield (%) | 0.0      | 0.0      | 0.0      | 0.0      |

\* Based on HSBC EPS (diluted)

### ESG metrics

| Environmental Indicators         | 12/2025a | Governance Indicators          | 12/2025a |
|----------------------------------|----------|--------------------------------|----------|
| GHG emission intensity*          | 5.9      | No. of board members           | 9        |
| Energy intensity*                | 11.2     | Average board tenure (years)   | 1.1      |
| CO <sub>2</sub> reduction policy | Yes      | Female board members (%)       | 22.2     |
| <b>Social Indicators</b>         |          | Board members independence (%) | 33.3     |
| Employee costs as % of revenues  | 188.2    |                                |          |
| Employee turnover (%)            | n.a      |                                |          |
| Diversity policy                 | Yes      |                                |          |

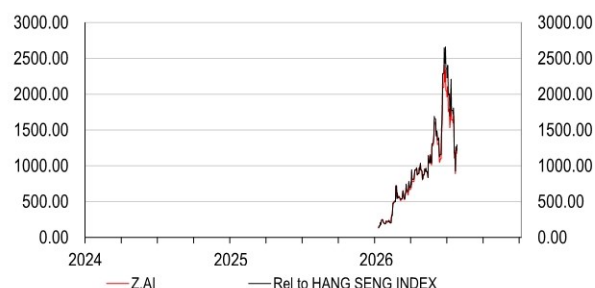
Source: Company data, HSBC

\* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

### Issuer information

|                    |          |                |                              |
|--------------------|----------|----------------|------------------------------|
| Share price (HKD)  | 1,281.00 | Free float     | 4%                           |
| Target price (HKD) | 1,500.00 | Sector         | Internet Software & Services |
| RIC (Equity)       | 2513.HK  | Country/Region | China                        |
| Bloomberg (Equity) | 2513 HK  | Analyst        | Ritchie Sun, CFA             |
| Market cap (USDm)  | 74,796   | Contact        | +852 2822 4392               |

### Price relative



Source: HSBC

Note: Priced at close of 27 Jul 2026

## Competition

**Exhibit 1: Comparison between Z.ai and Moonshot on key metrics**

| Company                                | Z.ai                                         | Moonshot                                                                      |
|----------------------------------------|----------------------------------------------|-------------------------------------------------------------------------------|
| <b>Key model metrics</b>               |                                              |                                                                               |
| Flagship model                         | GLM-5.2                                      | Kimi K3                                                                       |
| Release date                           | 13-Jun-26                                    | 16-Jul-26                                                                     |
| Core architecture                      | DeepSeek Sparse Attention (DSA) + IndexShare | Kimi Delta Attention (KDA) + Attention Residuals (AttnRes) + Stable LatentMoE |
| Total parameters (bn)                  | 744                                          | 2,800                                                                         |
| Activated parameters (bn)              | 40                                           | 104                                                                           |
| Activation ratio (%)                   | 5.4%                                         | 3.7%                                                                          |
| Experts                                | 8 out of 256 experts                         | 16 out of 896 experts                                                         |
| Training data scale (trn tokens)       | 30                                           | n.a.                                                                          |
| Context window (m)                     | 1                                            | 1                                                                             |
| Modality                               | Text                                         | Native multi-modal                                                            |
| <b>Cost vs. Intelligence vs. Speed</b> |                                              |                                                                               |
| API pricing (USD)                      |                                              |                                                                               |
| Input (Cache hit)                      | 0.26                                         | 0.3                                                                           |
| Input (Cache miss)                     | 1.4                                          | 3                                                                             |
| Output                                 | 4.4                                          | 15                                                                            |
| Cost per task (USD)                    | 0.32                                         | 0.72                                                                          |
| Artificial Analysis Intelligence Index | 51                                           | 57                                                                            |
| Output speed (tps)                     | 211                                          | 33                                                                            |
| <b>Financial metrics</b>               |                                              |                                                                               |
| Latest ARR (USDbn)                     | 1                                            | 0.3                                                                           |
| Latest ARR date                        | Jul-26                                       | Jun-26                                                                        |
| Latest valuation (USDbn)               | 76                                           | 50                                                                            |
| P/ARR (x)                              | 76                                           | 167                                                                           |

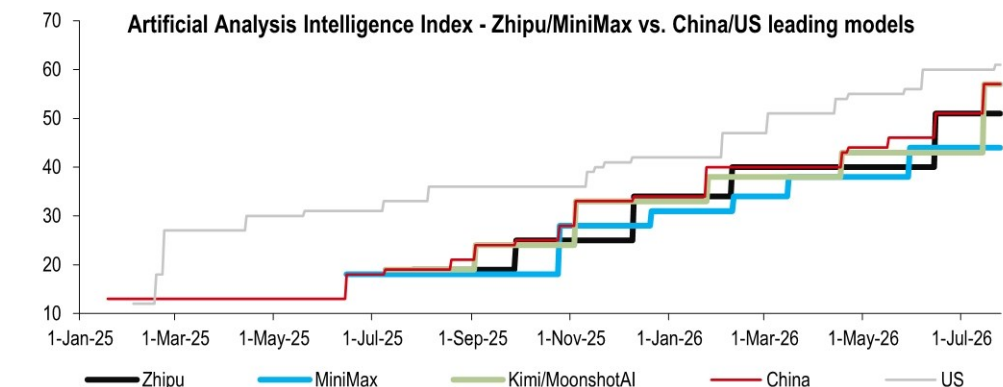
Source: Company data, Bloomberg, Artificial Analysis (data as of 27 July 2026). Note: share price is as of 27 July 2026

**Exhibit 2: More companies have launched model iterations in July 2026**

|                  | Major product launch since 2025 | Jan-25   | Feb-25 | Mar-25        | Apr-25 | May-25 | Jun-25 | Jul-25 | Aug-25     | Sep-25          | Oct-25      | Nov-25        | Dec-25 | Jan-26                | Feb-26 | Mar-26          | Apr-26       | May-26         | Jun-26    | Jul-26          |
|------------------|---------------------------------|----------|--------|---------------|--------|--------|--------|--------|------------|-----------------|-------------|---------------|--------|-----------------------|--------|-----------------|--------------|----------------|-----------|-----------------|
| Foundation model | GLM                             | Realtime |        | Z1-Rumination |        |        |        | 4.5    | 4.5v       | 4.6             |             | 4.5           | 4.7    |                       | 5.0    | 5.0 Turbo       | 5.1/5v-turbo | 5.1-highspeed  | 5.2       |                 |
|                  | Opus                            |          |        |               |        | 4      |        |        | 4.1        |                 |             | 4.5           |        | 4.6                   |        |                 | 4.7          | 4.8            |           | 5               |
|                  | Fable                           |          |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 |              |                | Fable 5   |                 |
|                  | Sonnet                          |          |        |               |        |        |        |        |            | 4.5             |             |               |        | 4.6                   |        |                 |              |                |           |                 |
|                  | Gemini                          |          |        |               |        |        |        |        |            |                 |             | 3             |        | 3.1                   |        |                 |              | 3.5 flash      |           | 3.6 flash       |
|                  | GPT                             |          | 4.5    | 2.5           |        |        |        |        | 5          |                 |             | 5.1           | 5.2    | 5.3-Codex             | 5.4    | 5.5             |              |                |           | 5.6             |
|                  | Grok                            |          |        |               |        |        |        | 4      |            |                 |             |               |        |                       |        | 4.20 0309       | 4.3          | Build 0.1 0616 |           | 4.5             |
|                  | Meta                            |          |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 |              |                |           |                 |
|                  | MiniMax                         | 01       |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 |              |                |           |                 |
|                  | DeepSeek                        |          |        |               |        |        |        |        | V3.1       |                 | M2          |               | V3.2   |                       | M2.5   | M2.7            |              | V4             |           | M3              |
|                  | Qwen                            | 2.5-Max  |        |               |        |        |        |        |            | 3-Max           |             |               |        | 3-Max thinking        | 3.5    | 3.5-Max preview | 3.6 Plus/3.6 | 3.7-Max        | 3.7-Plus  | 3.8-Max preview |
|                  | Kimi                            | K1.5     |        |               |        |        |        | K2     |            |                 |             |               |        | K2.5                  |        | Max preview     | K2.6         | K2.7 Code      | K3        |                 |
|                  | HY                              |          |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 | HY3 preview  |                |           | HY3             |
| Agent            | GLM                             |          |        |               |        |        |        |        | Auto GLM-2 | GLM Coding Plan |             | ZCode         |        | AutoClaw/ZCode update |        |                 |              |                | ZCode 3.0 |                 |
|                  | MiniMax                         |          |        |               |        |        |        |        |            |                 |             | MiniMax Agent |        |                       |        | MaxClaw         | MaxHermes    |                |           |                 |
|                  | Kimi                            |          |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 |              |                |           |                 |
|                  | Google                          |          |        |               |        |        |        |        |            |                 | Antigravity |               |        |                       |        |                 |              |                |           | Kimi Work       |
|                  | Anthropic                       |          |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 |              |                |           |                 |
|                  | OpenAI                          |          |        |               |        |        |        |        |            |                 |             |               |        |                       |        |                 |              |                |           | ChatGPT Work    |

Source: Company data, HSBC

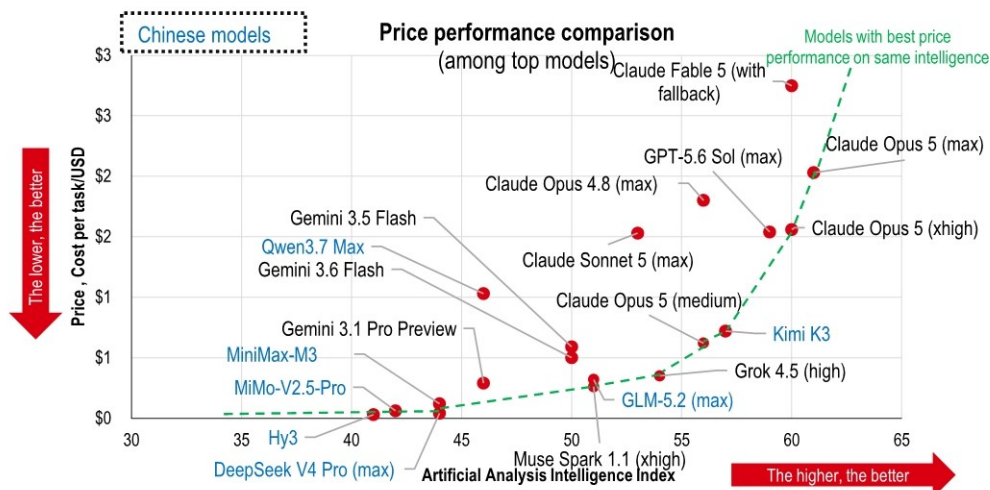
**Exhibit 3: Zhipu has been constantly catching up with top US and China models**



Source: Artificial Analysis. Note: Latest data as of 27 July 2026



**Exhibit 4: GLM-5.2's price performance stays attractive compared to some western models**



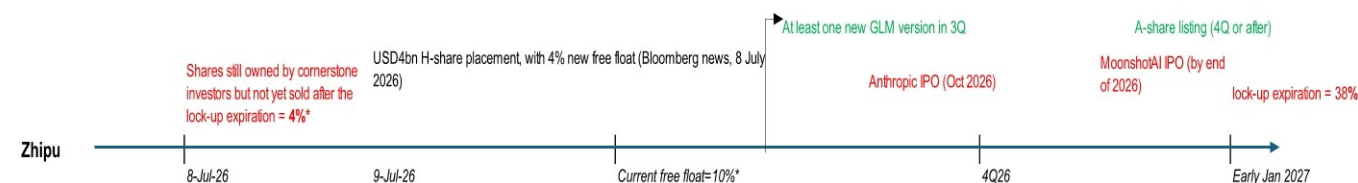
Source: Artificial Analysis; Note: Cost per task using average cost per task in the index. Costs are split by input, cache hit, cache write, reasoning, and answer token pricing where canonical token counts are available.

**Exhibit 5: Parameter size for open weight models has increased significantly**

| Key latest models      | Context Window (k) | Parameters (bn) | Activated parameters (bn) | Open/Proprietary |
|------------------------|--------------------|-----------------|---------------------------|------------------|
| GLM-5.2                | 1,000              | 744             | 40                        | Open             |
| Kimi-K3                | c1,000             | 2,800           | 104                       | Open*            |
| Kimi-K2.7 Code         | 256                | 1,000           | 32                        | Open             |
| MiniMax-M3             | 1,000              | 428             | 23                        | Open             |
| Claude Fable 5         | 1,000              | n.a.            | n.a.                      | Proprietary      |
| GLM-5.1                | c200               | c750            | 40                        | Open             |
| Kimi-K2.6              | 256                | 1,000           | 32                        | Open             |
| MiniMax-M2.7           | 205                | 230             | 10                        | Open             |
| DeepSeek-V4 Pro        | 1,000              | 1,600           | 49                        | Open             |
| Qwen 3.8 Max preview   | n.a.               | 2,400           | n.a.                      | Open*            |
| Claude Opus 5          | 1,000              | n.a.            | n.a.                      | Proprietary      |
| GPT-5.6                | 1,000              | n.a.            | n.a.                      | Proprietary      |
| Gemini 3.1 Pro Preview | 1,000              | n.a.            | n.a.                      | Proprietary      |
| HY3                    | 256                | 295             | 21                        | Open             |

Source: Company data, Artificial Analysis, Huggingface. Note: K3 and Qwen 3.8 Max are reported to be open weight but details will announce later by companies.

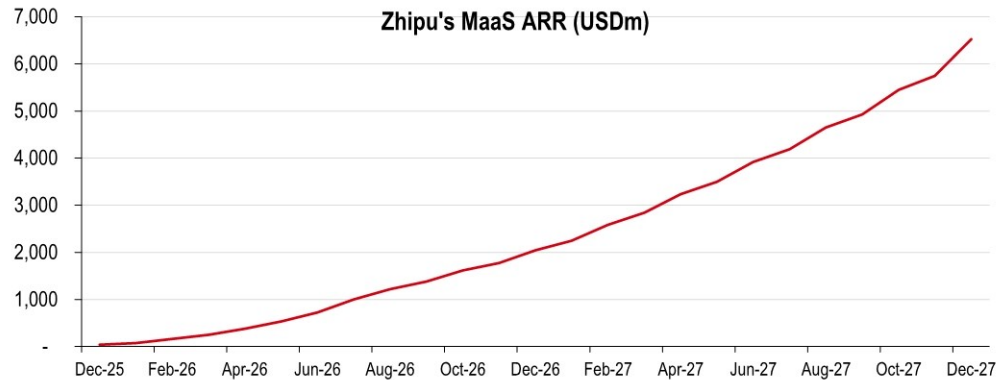
**Exhibit 6: The key positive and negative share price catalysts for Zhipu in rest of the year**



Source: Company filings, Hang Seng Index, HSBC. Note: % numbers in chart are as % of total company shares. Green highlights represent positive catalysts, red highlights represent negative catalysts

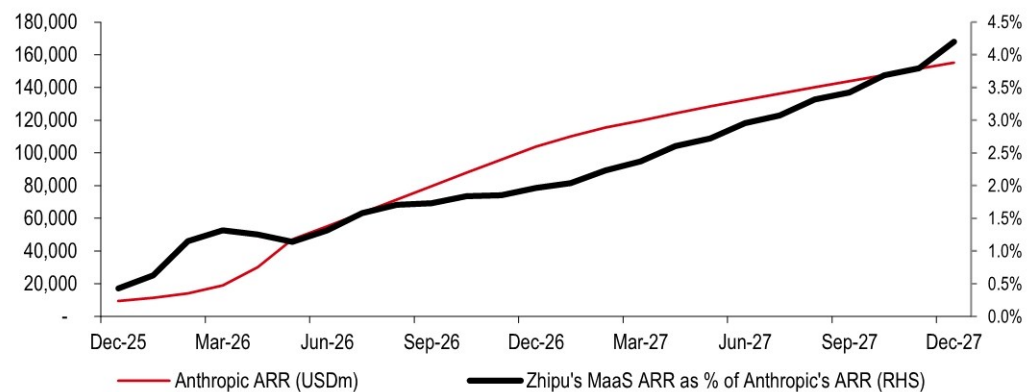
## ARR

**Exhibit 7: We expect Zhipu MaaS's ARR to reach USD2bn in December 2026 (51x yoy)**



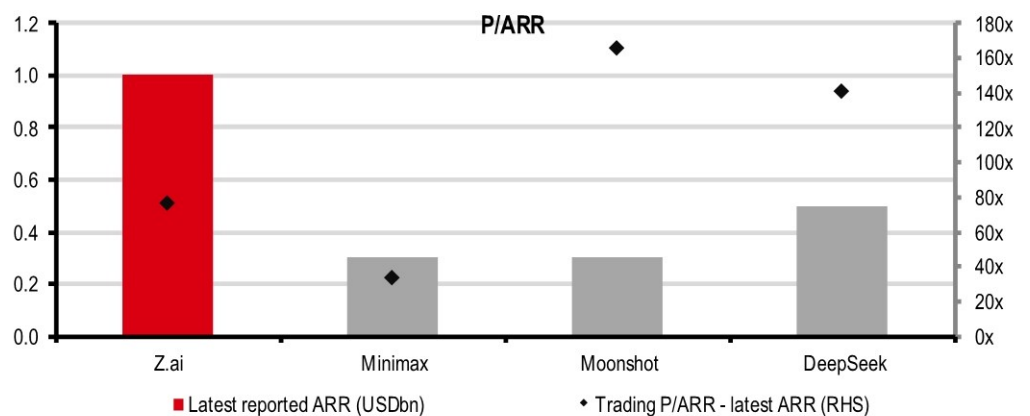
Source: Company data, HSBC estimates

**Exhibit 8: We expect Zhipu MaaS's ARR to grow faster than Anthropic's ARR**



Source: Company data, HSBC estimates

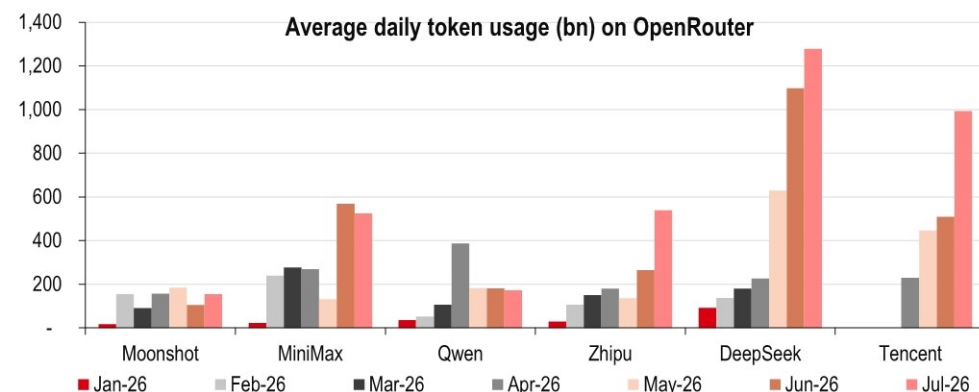
**Exhibit 9: Z.ai's P/latest ARR ratio vs. peers**



Source: Company data, HSBC estimates, Sina News, 36Kr News, Bloomberg News, Bloomberg. Note: Share price is as of 27 July 2026

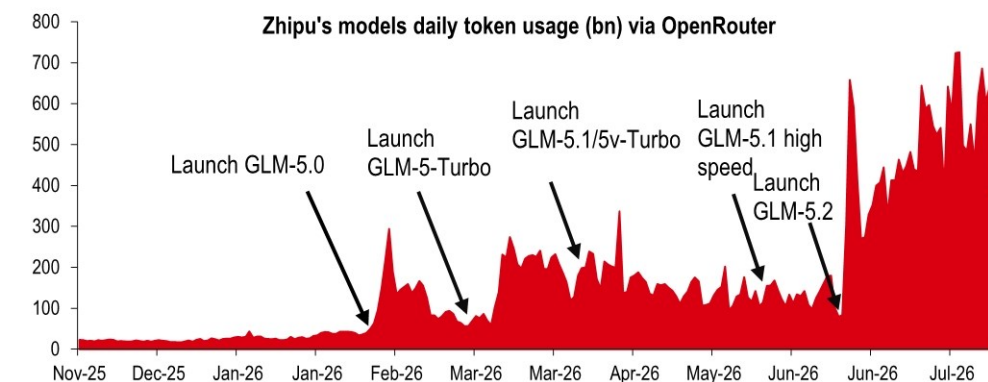
## Token consumption trends

**Exhibit 10: Zhipu's average daily token on OpenRouter saw healthy growth in June and July to date**



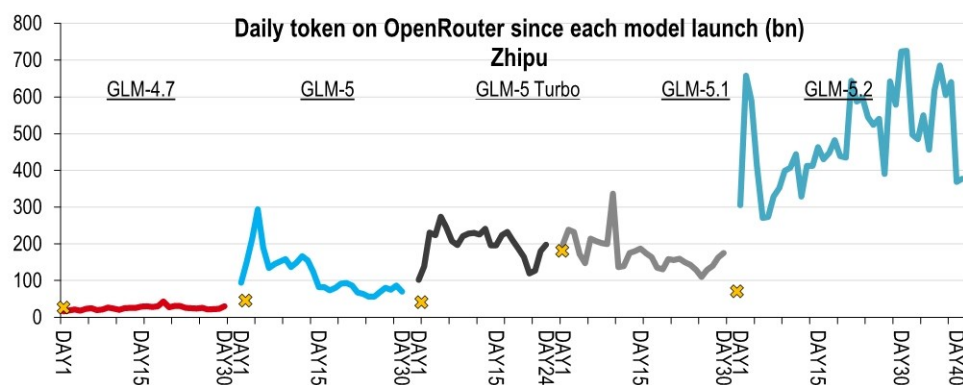
Source: OpenRouter, HSBC. Note: Tencent has low base in Jan-Mar before HY3 on OpenRouter; July data using daily average up to 26 July 2026

**Exhibit 11: Zhipu's token usage saw meaningful uptick post GLM-5.2 launch**

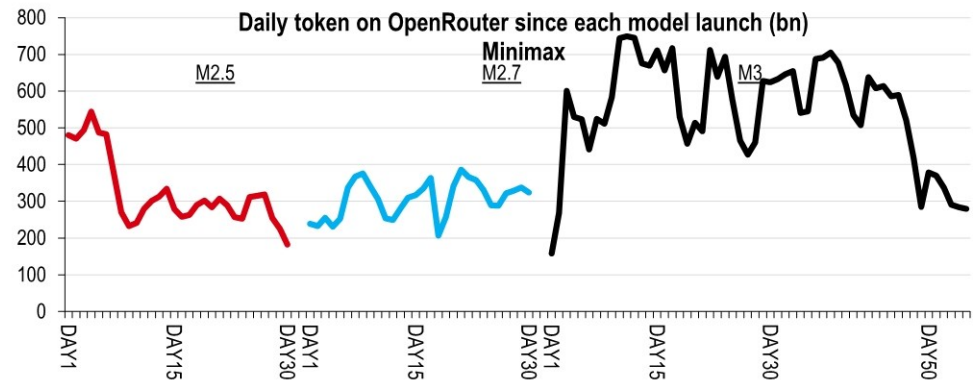


Source: OpenRouter, company data, HSBC

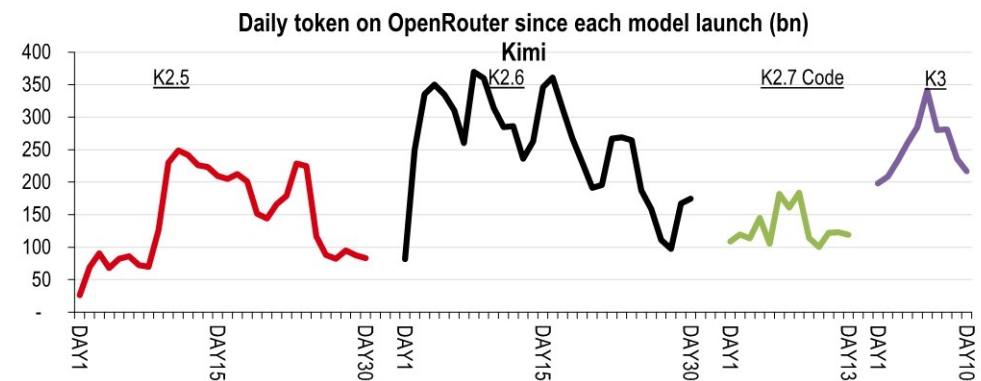
**Exhibit 12: Daily token usage trend on OpenRouter post each model launch – Zhipu**



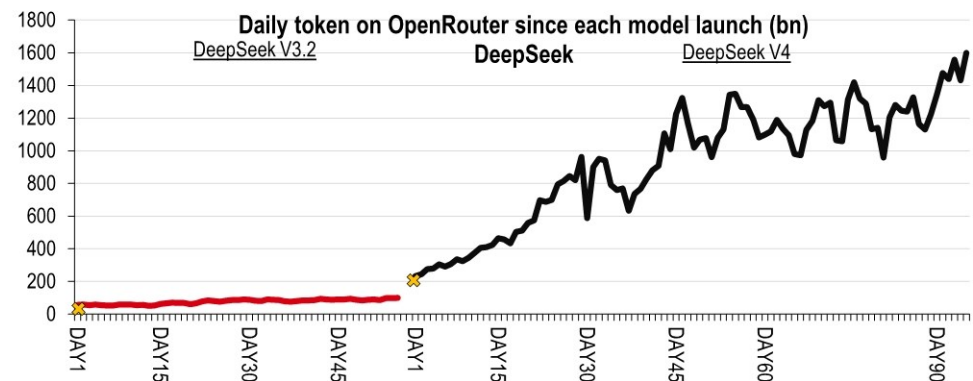
Source: OpenRouter, HSBC. Note: Token volume showing total token from the provider not only new model; cross sign showing the token volume day right before the launch date

**Exhibit 13: Daily token trend on OpenRouter post each model launch – MiniMax**


Source: OpenRouter, HSBC. Note: Token volume showing total token from the provider not only new model; cross sign showing the token volume day right before the launch date

**Exhibit 14: Daily token trend on OpenRouter post each model launch – Kimi**


Source: OpenRouter, HSBC. Note: Token volume showing total token from the provider not only new model; cross sign showing the token volume day right before the launch date

**Exhibit 15: Daily token trend on OpenRouter post each model launch – DeepSeek**


Source: OpenRouter, HSBC. Note: Token volume showing total token from the provider not only new model; cross sign showing the token volume day right before the launch date

## Estimate changes

Z.ai ARR reached USD1bn in July (per Bloomberg News on 17 July 2026), ahead of the guidance by December 2026. We raise ARR estimates to USD2bn (from USD1bn) in December 2026 and USD6.5bn (from USD2.4bn) in December 2027. Though the revenue mix shift to lower-margin API will dilute margins, we expect Z.ai to turn profitable in 2027 instead of 2028. Our TP cut to HKD1,500 (from HKD1,900) factors in lower FCF assumptions to reflect more intense competition in pricing, higher share count after the HKD31bn H-share follow-on offerings in July 2026, and changes in exchange rate (USD-HKD).

### Exhibit 16: Estimate changes

| RMBm                | 2026e   | 2027e   | 2028e   |
|---------------------|---------|---------|---------|
| <b>New</b>          |         |         |         |
| <b>Revenue</b>      | 7,206   | 29,176  | 66,237  |
| <b>y-o-y</b>        | 895%    | 305%    | 127%    |
| Gross margin        | 26%     | 28%     | 31%     |
| OP                  | (3,906) | 249     | 9,706   |
| OPM                 | -54%    | 1%      | 15%     |
| Non-IFRS OP         | (2,604) | 2,020   | 12,139  |
| Non-IFRS OPM        | -36%    | 7%      | 18%     |
| Net income          | (3,910) | 249     | 8,741   |
| NM %                | -54%    | 1%      | 13%     |
| Net income non-IFRS | (2,628) | 2,001   | 11,154  |
| Non-IFRS NM %       | -36%    | 7%      | 17%     |
| EPS (RMB)           | (7.99)  | 0.46    | 14.76   |
| Non-IFRS EPS (RMB)  | (5.37)  | 3.72    | 18.83   |
| <b>Old</b>          |         |         |         |
| Revenue             | 4,328   | 12,760  | 26,612  |
| y-o-y               | 497%    | 195%    | 109%    |
| Gross margin        | 29%     | 29%     | 32%     |
| OP                  | (4,646) | (4,338) | (1,968) |
| OPM                 | -107%   | -34%    | -7%     |
| Non-IFRS OP         | (3,302) | (2,287) | 580     |
| Non-IFRS OPM        | -76%    | -18%    | 2%      |
| Net income          | (4,650) | (4,338) | (1,964) |
| NM %                | -107%   | -34%    | -7%     |
| Net income non-IFRS | (3,325) | (2,307) | 563     |
| Non-IFRS NM %       | -77%    | -18%    | 2%      |
| EPS (RMB)           | (9.90)  | (8.39)  | (3.46)  |
| Non-IFRS EPS (RMB)  | (7.08)  | (4.46)  | 0.99    |
| <b>Changes</b>      |         |         |         |
| <b>Revenue</b>      | 66.5%   | 128.6%  | 148.9%  |
| Gross margin        | -2.3ppt | -1.6ppt | -1.3ppt |
| OP                  | 16%     | n.a.    | n.a.    |
| OPM                 | 53.2ppt | 34.8ppt | 22.0ppt |
| Non-IFRS OP         | 21%     | n.a.    | n.m     |
| Non-IFRS OPM        | 40.2ppt | 24.8ppt | 16.1ppt |
| Net income          | 16%     | n.a.    | n.a.    |
| NM %                | 53.2ppt | 34.8ppt | 20.6ppt |
| Net income non-IFRS | 21%     | n.a.    | n.m     |
| Non-IFRS NM %       | 40.4ppt | 24.9ppt | 14.7ppt |
| EPS (RMB)           | 19%     | n.a.    | n.a.    |
| Non-IFRS EPS (RMB)  | 24%     | n.a.    | n.m     |

Source: HSBC estimates



**Valuation and risks**

| <b>Valuation</b>                                 |                                                                          | <b>Risks to our view</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|--------------------------------------------------|--------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Z.AI</b><br><b>2513 HK</b><br><br><b>Hold</b> | Current price:<br><b>HKD1,281.00</b>                                     | <b>Upside risks:</b> <ul style="list-style-type: none"> <li>◆ Resolving the computing bottleneck (i.e., limited access to high-performance AI compute)</li> <li>◆ GLM iterations</li> <li>◆ Faster-than-expected pace to break even</li> <li>◆ Endorsement from major industry players</li> </ul> <b>Downside risks:</b> <ul style="list-style-type: none"> <li>◆ The launch of new models from competitors which may dilute token usage growth</li> <li>◆ Potential IPO of competitors (e.g., Anthropic, OpenAI, Kimi) that would reduce its scarcity premium</li> <li>◆ Lock-up periods to end on 7 January 2027</li> <li>◆ Weaker-than-expected model performance after iterations</li> <li>◆ Slower-than-expected pace to break even</li> <li>◆ Heavy cash burn and refinancing needs</li> <li>◆ Geopolitical risks</li> </ul> |
|                                                  | Target price:<br><b>HKD1,500.00</b><br><br>Up/downside:<br><b>+17.1%</b> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

**Methodology:** DCF

**Assumptions:** We have a Hold rating on Zhipu, with a HKD1,500.00 target price (from HKD1,900.00). This is based on a 10-year discounted cash flow (DCF) model, based on 11.8% WACC and 3% terminal growth rate. WACC is based on a 4.25% risk-free rate and 4.75% market risk premium (based on HSBC's global equity strategy team views), a 0.5% regulatory risk premium (due to being on the BIS Entity list), 1.45 beta, and 0.3% debt-to-debt & equity ratio.

We raise ARR estimates to USD2bn and USD6.5bn in December 2026 and December 2027, from USD1bn and USD2.4bn. Though the revenue mix shift to lower-margin API will dilute margins, we expect Z.ai to turn profitable in 2027 instead of 2028. Our TP cut to HKD1,500.00 factors in lower FCF assumptions to reflect more intense competition in pricing, higher share count after the HKD31bn H-share follow-on offerings in July 2026, and changes in exchange rate (USD-HKD).

Our target price implies c17% upside; we have a Hold rating given intensified competition in the LLM market.

Priced at 27 July 2026  
 Source: HSBC estimates

# Disclosure appendix

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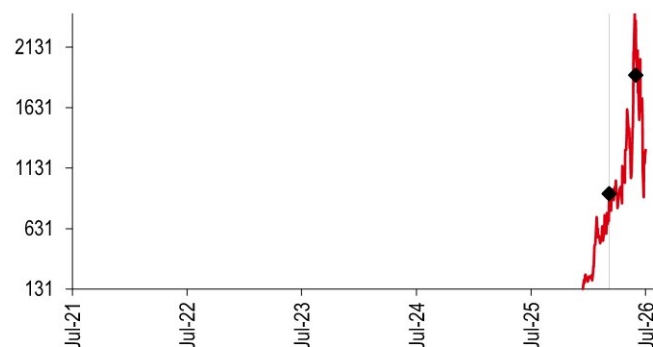
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**Share price and rating changes for long-term investment opportunities**
**Z.AI (2513.HK) share price performance HKD Vs HSBC rating history**


Source: HSBC

**Rating & target price history**

| From         | To    | Date        | Analyst          |
|--------------|-------|-------------|------------------|
| N/A          | Hold  | 01 Apr 2026 | Ritchie Sun, CFA |
| Target price | Value | Date        | Analyst          |
| Price 1      | 920   | 01 Apr 2026 | Ritchie Sun, CFA |
| Price 2      | 1900  | 25 Jun 2026 | Ritchie Sun, CFA |

Source: HSBC

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| Z.AI    | 2513.HK | 1281.00      | 27 Jul 2026 | 11         |

Source: HSBC

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